

# Inheritance Tax Manual

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## **Part 1: a summary of relevant legislation (1) agricultural holdings**

The Valuation Office Agency's (VOA) technical manual relating to Inheritance Tax.

The following Acts are referred to below together with a brief synopsis of their provisions:

- Agricultural Holdings Act 1948 - AHA 1948
- Agriculture Act 1958 - AA 1958
- Agriculture (Miscellaneous Provisions) Act 1976 - A(MP)A 1976
- Agricultural Holdings (Notice to Quit) Act 1977 - AH(NQ)A 1977
- Agricultural Holdings Act 1984 - AHA 1984
- Agricultural Holdings Act 1986 - AHA 1986

- Agriculture Act 1986 - AA 1986
- Agricultural Holdings (Amendment) Act 1990 - AH(A)A 1990

## **Agricultural Holdings Act 1948**

This consolidated previous legislation and added to it by providing security of tenure (previously possession could be obtained by 12 months notice to quit for any reason). Its provisions are now consolidated in the AHA 1986

## **Agriculture Act 1958**

This was an attempt to standardise all rents (reviews, new lettings, etc) by providing a definition of rent.

## **Agriculture (Miscellaneous Provisions) Act 1976**

Most importantly this Act gave the right to eligible persons to apply for a new tenancy on the death of the existing tenant (subsequently abolished for certain tenancies granted on or after 12th July 1984 - considered in more detail under the Agricultural Holdings Act 1986 below). Because the provisions may still be relevant to existing tenancies, they are dealt with in detail below. Statutory references, unless otherwise stated are to A(MP)A, with the Agricultural Holdings Act 1986 (AHA 1986) in brackets.

## **Right of eligible persons to apply for a tenancy**

Before 15 November 1976 a landlord was usually able to serve, within 3 months of the death of the tenant "with whom the original contract of tenancy was made", an effective notice to quit (s.24 AHA 1948). On and after 15 November 1976 the right to give notice to quit applies on the death of the sole (or sole surviving) tenant for the time being, ie on the death of the tenant in whom the tenancy is vested at that date (s.16 A (MP) A 1976 and Case G s.2(3) AH (NQ) A 1977), consolidated in Schedule 3 Parts I and II AHA 1986. However subject to the provisions of AHA 1984 and 1986 by virtue of s.19 A (MP) A 1976 (s.43 AHA 1986) such notice is effective only if either:-

- no application for a tenancy of the holding is made by an “eligible person” (see below) within 3 months beginning with the day after the date of death (or if the deceased died between 15 November and 31 December 1976, the 3 months beginning on 1 January 1977), or
- one or more such applications having been made within the 3 months, either:-

**\*\* i.\*\*** the Agricultural Land Tribunal (ALT) determines that none of the applicants is a “suitable person”, or **\*\* ii.\*\*** the ALT consents to the operation of the notice to quit (see below).

### **Eligible person**

Broadly an “eligible person” (defined in s.18) is the spouse, brother, sister or child (or person treated as a child) of the deceased tenant who, within the seven years ending with the date of death, had for a period totalling 5 years derived his main source of income from his agricultural work on the holding. Eligibility will be lost if the person is already the occupier of a commercial unit of agricultural land other than as a licensee. The interpretation of this provision has been the subject of two House of Lords decisions; *Jackson v Hall* (1979) 1 All ER 449 and *Williamson v Thompson and Carpenter* (1979) 251 EG 955.

### **ALT to consider if an eligible person is suitable**

An eligible person may apply to the ALT within the appropriate time limit for a direction giving entitlement to a tenancy of the holding. The ALT has to consider, under s.20 (s.36 et seq AHA 1986), the applicant’s suitability to become the tenant, including such matters as agricultural experience, age, fitness and financial standing. The landlord is entitled to put views to the ALT and may also resist the application by asking the ALT to consent under s.22 (s.44 et seq AHA 1986) to the operation of the notice to quit. The ALT must have regard to ss.3 and 6 AH (NQ) A 1977 (s.27 AHA 1986) in considering whether to allow the notice to quit to have effect.

### **Terms of new tenancy**

If the ALT directs that an eligible person shall have a tenancy of the holding it will be a new tenancy, not a continuation of the deceased's tenancy, and will be on the terms provided by s.23 (s.45 et seq AHA 1986) (basically those on which the property was let immediately before the death) with possible arbitration under s.24 (ss.48 & 84 AHA 1986).

### **Limitation to two successions only**

Under s.18 (4) e (s.37 (1) AHA 1986) these provisions can only operate for two successions.

### **Exclusions from family succession provisions**

There are various circumstances in which the provisions for family succession on the death of the tenant will not apply and reference should be made to the important exceptions set out in s.18(4) (s.38 AHA 1986)

### **Effect on values**

The A (MP) A 1976 provides for either a direction by the ALT entitling a suitable eligible person to a tenancy of the holding; or the operation of the landlord's notice to quit. In either case the deceased's tenancy is terminated.

- **Tenant's Interest**

The deceased tenant's estate will include any compensation payable by the landlord for improvements and tenant-right under the AHA 1948 or under any agreement or custom on termination of the tenancy.

The deceased's estate will also be subject to any liability imposed by the landlord's right to recover compensation for dilapidations, deterioration or damage to the holding appertaining to the deceased's occupation.

- **Landlord's Interest**

It will be recognised that the A (MP) A 1976 adversely affects the value of agricultural holdings occupied by tenants with eligible successors to the extent that the reversion to vacant possession may

be delayed and the landlord may have to prove a case for possession before the ALT. In considering the value, comparable transactions in agricultural holdings subject to tenancy must be regarded with circumspection as the position as to succession will vary from case to case.

- Need to refer to the Relevant Acts

In any case where the provisions of this and associated Acts may apply, reference should be made thereto on matters of detail and DVs will need to be aware of the decisions of their local ALT.

### **Agricultural Holdings (Notice to Quit) Act 1977**

Largely a consolidating measure.

### **Agricultural Holdings Act 1984**

The Agricultural Holdings Act 1984 was enacted on 12 July 1984 and contained a large number of amendments to law relating to agricultural holdings in England and Wales. The most significant are those to s.8 AHA 1948 dealing with rent arbitrations, to ss.1 and 2 AH (NQ) A 1977 dealing with Notices to Quit and to Part II A (MP) A 1976 dealing with statutory succession provisions. These provisions are consolidated in the AHA 1986.

### **Agricultural Holdings Act 1986**

#### **General**

The Agricultural Holdings Act 1986 was enacted on 18 March 1986 and consolidates ten statutes relating to agricultural holdings in England and Wales. The Act came into force on 18 June 1986 and integrates the basic structures of the AHAs 1948 and 1984 together with the succession provisions of the A (MP) A 1976 and the AHA 1984. All statutory references in the following paras refer to the AHA 1986 unless otherwise stated.

#### **Amendments to succession rights in respect of existing tenancies**

The statutory succession scheme introduced by the A (MP) A 1976 remains largely intact in respect of

tenancies granted before 12 July 1984. However a number of amendments were introduced by the AHA 1984 and consolidated in the AHA 1986, the principal ones being:-

- The rules of eligibility for succession are widened in relation to widows of tenants (s.36(4)).
- A new definition of “commercial unit” is provided in Sch 6 Part I (paras 3 & 4).
- There is provision for a successful applicant to be granted a tenancy of part only of a holding, but only with the applicant’s consent (s.39(10)).

### **Retirement notices**

Ss.49-58 introduce a scheme of succession on the retirement of a tenant which does not require the consent of the landlord. This only applies to tenancies existing prior to 12 July 1984. The retiring tenant must be not less than 65 years old at the date of retirement unless able to prove sufficient infirmity which prevents farming within the rules of good husbandry, and must nominate a single eligible person to succeed to the tenancy. If required the successor must prove eligibility in accordance with the provisions of s.50 (2) and Part I of Sch 6 which are effectively the same as those which apply to succession on death. There is provision for the Agricultural Lands Tribunal to refuse a succession on retirement on the grounds of greater hardship (s.53 (8)).

### **Succession rights abolished in respect of new tenancies**

S.34 (1) abolishes statutory succession under the A (MP) A 1976 in the case of tenancies granted on or after 12 July 1984 unless:-

- the tenancy is itself a tenancy by succession under the provisions of the A (MP) A 1976 in which case those provisions will continue to apply, or
- the tenancy was granted by written contract indicating that s.34 (1) is not to apply (in other words the succession provisions are specifically “contracted in”), or

- the tenancy is the result of a surrender and regrant to a tenant who was the tenant of the holding or a substantial part thereof prior to 12 July 1984.

## **Agriculture Act 1986**

This provides for payments by landlords to certain agricultural tenants, in respect of milk quota, on the termination of their tenancies. See Practice Note 7, Part 2 for detailed consideration of the compensation provisions of the Act and Part 3 for the interaction of milk quotas with rent reviews under AHA 1986.

## **Agricultural Holdings (Amendment) Act 1990**

### **General**

The Agricultural Holdings (Amendment) Act 1990 came into force on 29 July 1990. It effectively reverses the Court of Appeal ruling in *Bell v McCubbin* (1989) 8940 EG 100 which held that a landlord could serve a valid notice to quit part of an agricultural holding under Case B Schedule 3 AHA 1986 if the land or buildings concerned were already being used for a non-agricultural purpose, and the landlord merely wished to resume possession for the same user.

The Court of Appeal's decision was an unexpected use of Case B(b) which had hitherto been thought to apply only to the Crown (as being entirely exempt from planning control) following the decision in *MAFF v Jenkins* (1963) All ER 147. The effect of the *Bell* decision was thought to widen the possibilities for which a landlord could serve an "incontestable" notice to quit. To rectify the position a Private Member's Bill was introduced before Parliament in Autumn 1989, receiving Royal Assent on 29 June 1990.

### **Amendments to Case B Schedule 3 AHA 1986**

The intention of the AH(A)A 1990 is to clarify the circumstances in which an "incontestable" notice to quit may be served when land is required for a purpose other than agriculture. The Act's amendments affect both the wording of Case B in

Part I Schedule 3 AHA 1986 and the Supplementary Provisions in Part II of the Schedule.

Para (a) of the new model Case B is the same as before, namely, where land is required for a non-agricultural purpose for which permission has been granted on an application made under the Town and Country Planning Acts.

The old para (b) of Case B has been superseded to define the circumstances where possession for a non-agricultural use may be secured, other than on the grant of planning permission in response to an application. The new provisions contained in paras (b), (c), (d) and (e) cover the situations where Parliament has in various ways given sanction to a particular development or by reason only of Crown immunity.